



File No.: EXP202309151

RESOLUTION OF FILE OF PROCEEDINGS

From the proceedings carried out by the Spanish Agency for Data Protection and based on the following

FACTS

FIRST: The National Commission of Markets and Competition (CNMC) on 03/11/2021 refers to the Spanish Agency for Data Protection (AEPD) the result of the proceedings carried out in its supervision of the retail electricity and natural gas market, where it communicates a possible fraudulent use of the supply point databases (SIPS) of gas and electricity from the perspective of personal data protection regulations.

SECOND: On 31/03/2022, the director of the AEPD agrees to initiate an ex officio investigation to gather the necessary elements of judgment to ascertain with certainty whether actions contrary to personal data protection regulations have occurred. However, considering the broad scope of the assumptions raised by the CNMC and the need to align it with the capabilities and resources available to the AEPD, the investigation focuses on the first of the scenarios described by the CNMC, namely, the existence of software providers that integrate SIPS information into their packages and make it available to their clients, who may not be authorized marketers.

Once the referred file is completed, on 05/07/2023, the director of the AEPD agrees to initiate new investigative actions that encompass the third of the scenarios described by the CNMC, namely, the anomalous activity of marketers in their authorized access to the SIPS, due to the number of queries or multiplicity of originating IP addresses, which could indicate a commercialization of the data or the use of credentials by third parties. The need to assess the implications regarding personal data protection requires the opening of an investigation to verify these aspects and, if applicable, the proper observance of the regulations concerning the entity LUVON ENERGÍA, S.L.

Regulatory Framework

The SIPS is defined in the current regulation as a technical, consumption, and commercial database of each of the supply points that are connected to each electricity or natural gas distributor.

1 However, the information in the SIPS is asymmetrical in the regulations for gas and electricity. Thus, it includes for each CUPS, monthly consumption (the last three years for electricity and the last two years for gas) and technical information of the supply points. Additionally, the gas SIPS includes the data of the holder of the supply point, their address, and the address of the supply point. However, in the electrical SIPS, these three data points were removed in 2015.

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establishes that the CNMC may make this information available to the marketers who request it.

The structure and access to the SIPS are regulated in Article 7 of Royal Decree 1435/2002, of December 27, for the electricity sector and in Article 43 of Royal Decree 1434/2002, of December 27, for the natural gas sector.

In accordance with the provisions of Royal Decree 1011/2009, of June 19, which regulates the Supplier Change Office (hereinafter, OCSUM), the information from the SIPS was provided from that year by the OCSUM, once this information was collected from the corresponding distributors.

According to the provisions of Transitional Provision 3 of Law 24/2013, of December 26, on the Electricity Sector, the CNMC assumed the functions of OCSUM on July 1, 2014. Among these functions was the delivery of the databases of supply points to the electricity and natural gas marketers that request them.

The defunct OCSUM received these databases in different formats from the distributors, because until then the content was regulated, but not the format of said databases, which constituted a barrier to

access to information by marketers, who had to face as many formats as there were distributors. In September 2014, a first basic format was issued with hardly any restrictions for the submission of information. Subsequently, in July 2016, a second standard format was developed. In parallel, at that time, the information delivery/receipt system was also adapted to the new CNMC procedure, which uses an API application on its website. All of this was done in order to facilitate access to the SIPS of electricity and gas for all registered marketers, both independent and vertically integrated companies. The specific legislation on electricity establishes in Article 7.3 of Royal Decree 1435/2002, of December 27, which regulates the basic conditions of contracts for the acquisition of energy and access to low voltage networks, that "marketers who have submitted the communication of the start of activity and responsible declaration, appear on the list published by the National Commission of Markets and Competition and comply at all times with the requirements necessary to carry out the activity, may access the databases of supply points of each distribution company free of charge. [...] Marketers, and other parties that make use of the information contained in the databases of supply points of the distribution companies, in accordance with the provisions of this provision and Article 46.1.k) of Law 24/2013, of December 26, on the Electricity Sector, must subscribe to a code of conduct and guarantee the confidentiality of the information contained therein." Article 46.1.k) of Law 24/2013, of December 26, on the Electricity Sector, establishes that, in relation to the supply point, it is the obligation of marketing companies to "Preserve the confidential nature of the information of which they become aware in the performance of their activity, when its disclosure may lead to commercial problems, without prejudice to the obligation to inform the Public Administrations."

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For its part, Article 43.5 of Royal Decree 1434/2002, of December 27, which regulates the activities of transportation, distribution, marketing, supply, and authorization procedures for natural gas facilities, establishes the conditions of the SIPS, stating that "The marketers registered in the corresponding section of the Administrative Registry of Distributors, Marketers, and Direct Consumers in the Market, as well as the Supplier Change Office, in accordance with the regulatory standard of its operation, may access the databases of supply points of each distribution company free of charge. The marketers that make use of the information contained in the databases of supply points of the distribution companies, in accordance with the provisions of this regulation, must guarantee the confidentiality of the information contained therein. Those to whom such information refers will have the right to access their data contained in this registry free of charge and may also prohibit in writing the distributors from disseminating the data they expressly indicate."

In this regard, the CNMC published in the BOE on July 14, 2014, a resolution creating an automated file of personal data for its registration with the AEPD.

In the context of file EXP202201449, the CNMC sends, at the request of the AEPD, information on certain issues related to the procedure used by the CNMC for the management of the SIPS. Entry with registration number REGAGE23e00009023957 included in the Diligence References.

Likewise, the AEPD has expressed its opinion on the nature of the data of the electric SIPS, indicating that "the Information System of Supply Points incorporates personal data, given that from the Supply Point Code it is possible to identify the consumer to whom the information refers, thus linking all the content of the system with that consumer." AEPD report with reference numbers 29528/2015 and 236230/2015 included in the Diligence References.

In short, the CNMC, within the framework of its competencies, makes available to marketers the data included in the SIPS, data considered personal in nature.

Situation noted by the CNMC

- In a letter dated October 28, 2021, the Regulatory Supervision Room of the CNMC informs this Agency of possible cases of fraudulent use detected during its supervision of the retail electricity and natural gas market. Entry with registration number O00007128e2100045079.

In the context of the third of the scenarios described, the CNMC appreciates, in the analysis of the data

obtained from the individual queries made to the API of the CNMC web service by authorized marketers, indications of possible use not in accordance with the purpose of the SIPS, due to a high number of requests and different IP addresses used by some marketers. The CNMC points out that LUVON:

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This electricity marketer (code (...)) made, in the study period (second quarter of 2021), 288,158 queries from 13 different IP addresses, and its switching was 1,424 supply points. In July 2021, it managed 11,875 electricity supply points.

Additionally, the CNMC provides an Excel file, CNS_DE_1061_21_anexo, which includes information on the relationship of LUVON's IP addresses with the number of queries made through the CNMC web service API during the second quarter of 2021.

2ND QUARTER 2021

IP

No. of requests

(...)

283,600

(...)

1,534

(...)

934

(...)

694

(...)

649

(...)

565

(...)

61

(...)

50

(...)

47

(...)

10

(...)

10

(...)

3

(...)

1

TOTAL

288,158

-

On June 28, 2022, in the context of the investigation actions ***PROCEDIMIENTO.1, the CNMC provides this Agency with the letter, dated March 9, 2022, in which it requests LUVON to clarify the individual queries made during the year 2021, and the letter of LUVON's response to the questions raised by the CNMC, dated March 25, 2022.

Below is an excerpt from the information provided:

- Letter from the CNMC

In its supervision of the energy markets, the National Commission of Markets and Competition (CNMC) has found a series of indications that, along with information received from agents in the electricity and gas market, determine the existence of possible fraudulent use of the personal information contained in the Supply Points Information System (SIPS) of this Commission, by the marketer LUVON ENERGÍA, S.L. with NIF B93400836.

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The procedure for registering your request for access to the SIPS was recorded through the Electronic Headquarters of the CNMC, including a form where the applicant Mr. A.A.A. with NIF ***NIF.1, acting on behalf and representation of the marketer, expressly guaranteed that he would comply with the applicable regulations on the protection of personal data regarding the data received and that he would maintain at all times the confidentiality of the information of the data he has downloaded, adopting, for this purpose, the precise and necessary measures in the processing processes, which are his exclusive responsibility.

Unusual activity has been detected in the number of individual queries made through the CNMC API, which is far removed from the average values recorded by marketers with their volume of switching and commercial activity related to the SIPS. Specifically, during the year 2021, 799,797 individual queries about consumption and 44,509 individual queries about electricity supply points were recorded from different IP addresses.

Taking as an example a more specific case of the records of queries to the SIPS database using the certificate or access credentials granted to the marketer, during 2021, 537,653 individual requests for information about electricity supply points were recorded through the API service from the IP address (...), 49,332 requests were recorded from the IP address (...) via a machine hosted in the domain ***URL.1, and 40,703 requests from the IP address (...) via a machine hosted in the domain ***URL.2. [...]

For these purposes, you are required to submit the requested documentation, as well as responses to the following questions within ten business days...:

- o Detailed justification for the use of the information that you download monthly from the SIPS of the CNMC regarding your activity as an electricity marketer. In particular, clarify the reasons for making such a high number of queries and the destination of the information downloaded through your queries to the SIPS databases.

- o Detailed justification for the use of the information that you download monthly from the SIPS of the CNMC regarding your activity as a gas marketer.

- o Copy of the code of conduct subscribed to as indicated in Article 7.3 of Royal Decree 1435/2022, as well as the guarantees of confidentiality of the information contained in the downloaded databases. Include a faithful copy of the related document.

- o Confirm or deny the relationship of LUVON ENERGÍA, S.L. with (...), as well as whether you allow third parties to use your credentials and access authorization for downloading from the SIPS or making queries through the CNMC API. If you allow third parties to use your credentials, clearly specify who or who have used your access permissions, or have accessed the data you have downloaded from the CNMC SIPS database.

- o Justifying report on the high volume of queries made during 2021 and its relation to your activity as an electricity marketer.

- o Information about the device that identifies the IPs (...), (...), (...), (...), (...), (...), (...), (...), (...), (...), (...), (...), (...), (...), (...) and (...), from which queries have been registered to the SIPS database using your access rights. In particular, inform whether they belong to the marketer, the DNS, and their final ownership if located on a server, and the use of the information downloaded by each IP.

☐ Response from LUVON

FIRST. - (...) It should be noted that the provider of systems and maintenance of the ERP of LUVON

ENERGÍA is ***EMPRESA.1., with CIF (...) and registered office at ***DIRECCIÓN.1. In turn, ***EMPRESA.1. is a partner of ***EMPRESA.2 with CIF (...) and registered office at ***DIRECCIÓN.2 Spain.

Documents numbered 1 and 2 are provided, which are the contracts signed between LUVON and ***EMPRESA.1.

Regarding the detailed justification for the use of the downloaded information, we must state the following:

Until approximately November 11, 2021, the ERP of LUVON, designed under PHP technology, had developed a service to connect with the CNMC SIPS API, both to query its consumption endpoints and those for supply information, for both gas and electricity. At one point in the evolution of the application, it needed to make queries to update the estimated annual consumption of active customers. Thus, every time a contract received a file with the tolls (XML F1), the API was consulted to recalculate and update the consumption in the last mobile year, which was then saved in the tool. This caused an increase in the use of the API because importing 2000 F1, for example, in one day, caused 2000 requests to be made the next day to update the annual consumption of those contracts.

This way of operating caused access blocks to the CNMC, which meant that we did not have access to the database, so this part contacted the CNMC, initially to understand the origin of the block, unknown to LUVON at that time, and to request the unblocking of the IPs. Each time the CNMC proceeded to unblock them, they would be blocked again or new ones (dynamic IPs) would appear. Our partner ***EMPRESA.1. uses dynamic IPs, which, as you know, are assigned temporarily and randomly by the system provider.

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Documents No. 3 and 4 are the emails exchanged between the CNMC and LUVON.

As a result of these blocks and while we were in discussions with the CNMC, several access methods were attempted that did not exceed the stipulated query limits, but our accesses were always blocked. SECOND. – Since none of these attempts were successful, the creation of a proprietary tool was proposed, isolated from the ERP, which would make a single request to the API for each published .zip and download the complete information so that the ERP would query this data instead of the API itself, meaning that the requests made by LUVON since then were based on the downloaded data. This software was developed and implemented around November 11, 2021, which eliminated the excess requests to the CNMC's API.

Document No. 6 is the invoice for the development and implementation of the tool, due on 11/26/2021.

THIRD. - Document No. 7 is the Internal Regulations and Code of Conduct, whose Article 30 relates to compliance with data protection regulations, and the Annex includes the duty of confidentiality and the protection of personal data.

FOURTH. – Finally, we wish to state that this party has no relationship whatsoever with ***EMPRESA.3 or with the company ***EMPRESA.4.

LUVON states:

Dynamic IPs are randomly assigned to different users temporarily, so the IP attributed to ***EMPRESA.4 was theirs until 2013, when they canceled the service with ***EMPRESA.2, and in 2021 it was temporarily assigned to ***EMPRESA.1. We still do not have a response from ***EMPRESA.3, despite having requested information through phone calls and emails, but this party can infer that the same situation occurred, that this IP has been used by them at some point and that in 2021 it was temporarily assigned to ***EMPRESA.1.

Document No. 8 includes emails exchanged between LUVON and ***EMPRESA.4, and Document No. 9 is an email sent by LUVON to ***EMPRESA.3.

FIFTH. – Identification of the device that identifies the exposed IPs: In light of what has been stated in the previous sections, it is not possible to know the history of the IPs assigned to our partner, or at least, this is what we are assured by ***EMPRESA.1, as there would have had to be dozens

throughout 2021 and they do not have a record of them.

These IPs do not belong to the marketer but have been used during 2021 by ***EMPRESA.1, and their ownership is with ***EMPRESA.2.

One is identified, the (...), which is located in Cuba, which we find explained by one of the partners of the company ***EMPRESA.1, who travels there frequently.

On the other hand, ***EMPRESA.1 has its domicile in Galapagar, Madrid, but they assure us that their employees can perform their tasks from anywhere in the world.

SIXTH. - Luvon Energía, SL, responsibly declares that it has strictly adhered to its code of conduct and has not provided access keys to the CNMC's SIPs database to any third party, except to

***EMPRESA.1 by virtue of their commercial relationship under the agreement for the development of their ERP and, always, after the signing of the confidentiality clause included in the maintenance contract signed between the parties, which is attached to this communication. Furthermore, Luvon Energía has not used the information contained in the CNMC's SIPs database for any purpose other than that of an electricity and gas marketer.

Regarding the IP addresses identified by the CNMC

In relation to the IP addresses of LUVON identified by the CNMC with the number of queries made during the second quarter of 2021 in the Excel CNS_DE_1061_21_annex submitted to this Agency along with the letter dated October 28, 2021; the Internet service provider is identified through the website of the Regional Internet Coordination Center for Europe, IP Diligence, obtaining the following results:

IP
Internet Service Provider

(...)
***EMPRESA.2

(...)
***EMPRESA.2

(...)
***EMPRESA.5

(...)
***EMPRESA.6

(...)
***EMPRESA.5

(...)

-
(...)
***EMPRESA.5

(...)
***EMPRESA.5

(...)
***EMPRESA.5

(...)
***EMPRESA.5

(...)
***EMPRESA.7

(...)
***EMPRESA.5

(...)

-

For the IP addresses (...) and (...) the results are provided by the Regional Internet Registry for America, ARIN.

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Regarding the additional IP addresses collected in the letter sent by the CNMC to LUVON on March 9, 2022, requesting clarification on the inquiries made during 2021; the investigation actions proceed to identify the Internet service provider through the website of the Regional Internet Coordination Center for Europe, Diligence IPs, obtaining the following results:

IP

No. of requests

Date

Internet service provider

(...)

49,332

During 2021 (the CNMC does not specify periods)

***COMPANY.2

(...)

40,703

-

On February 9, 2024, and March 6, 2024, ***COMPANY.2 is requested to provide the identifying data and address of the holder of the assignment of the IP addresses that belong to it, as indicated by the CNMC in the Excel CNS_DE_1061_21_anexo on the dates specified.

On February 26, 2024, and March 18, 2024, the responses are received at the electronic headquarters of the AEPD. Entries with registration numbers REGAGE24e00014897044 and REGAGE24e00020805079. The results are presented below:

IP

Dates

Holder

(...)

From 01-04-2021 to 21-06-2021

***COMPANY.1.

30-06-2021

(...)

8, 11, 19, 21, and 24 – April 30, 2021

2, 3, 6 – May 12 and 21 – 28, 2021

2 – 4, 8, 10, 11, 14, 15, 17, 21, 22, 24 – June 30, 2021

Regarding the additional IP addresses referenced by the CNMC in the letter dated March 9, 2022, sent to LUVON, without specifying the periods in 2021 when the inquiries to the CNMC API were made, and which were also included in previous requests, ***COMPANY.2 conveys in its response to the AEPD:

Regarding the holder of the IP (...) within the timeframe indicated by you "during the year 2021," we confirm that during that period, this IP was associated with different services, as we indicate below:

- Assigned from 2019-10-29 to 2021-03-05 to a server used internally by ***COMPANY.2 for conducting internal tests and application testing. This server is not associated with any service provided to any client of ***COMPANY.2, and the machine to which this IP was associated on that date is no longer active.

- Assigned from 2021-03-11 to 2021-04-14 to a server used internally by ***COMPANY.2 for conducting internal tests and application testing. This server is not associated with any service provided to any client of ***COMPANY.2, and the machine to which this IP was associated on that date is no longer active.

- Assigned from 2021-07-22 to 2021-08-03 to a virtual machine activated within a Cloudbuilder Server contracted with ***COMPANY.2 by the client: ***COMPANY.8

- Assigned from 2021-10-11 to 2021-11-03 to a virtual machine activated within a Cloudbuilder Server contracted with ***COMPANY.2 by the client: ***COMPANY.1.

- Assigned from 2021-11-22 to 2024-01-11 to a virtual machine activated within a Cloudbuilder Server contracted with ***COMPANY.2 by the client: ***COMPANY.3.

Regarding the holder of the IP (...) within the timeframe indicated by you "during the year 2021," we confirm that during that period, this IP was associated with different services, as we indicate below:

- Assigned from 2013-07-25 to 2021-07-12 to a virtual machine (cd26796) activated within a Cloudbuilder Server (cdc02102) contracted with ***COMPANY.2, by the client whose details we provide below:

Name: B.B.B.

Company: (...)

[...]

- Assigned from 2021-07-20 to 2021-07-26 to a virtual machine (cd121117) activated within a Cloudbuilder Server (cdc01169) contracted with ***COMPANY.2, by the client ***COMPANY.8

- Assigned from 2021-09-30 to 2021-10-11 to a virtual machine (cd113619) activated within a Cloudbuilder Server (cdc02699) contracted with ***COMPANY.2, by the client ***COMPANY.1.

- On February 9 and 15, 2024, and March 25, 2024, ***COMPANY.5 is requested to provide the identifying data and address of the current holder of the assignment of the IP addresses that belong to it, as indicated by the CNMC in the Excel CNS_DE_1061_21_anexo on the dates specified.

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On February 14 and 20, 2024, and April 8, 2024, the responses were received at the electronic headquarters of the AEPD.

P

Dates

Holder

(...)

June 16, 22, and 23, 2021

Dynamic IP

(...)

April 12 – 16, 19 – 22, and 27 – 29, 2021

***COMPANY.1.

May 10, 11, 13, 14, 17 – 20, 25 – 28, 2021

June 8, 9, 11, 15 – 23, and 25, 2021

(...)

April 6 and 7, 2021

Dynamic IP

(...)

May 17, 19, and 20, 2021

Dynamic IP

(...)

May 13, 15, and 17, 2021

Dynamic IP

June 13, 2021

Dynamic IP

(...)

June 29, 2021

Dynamic IP

(...)

May 27, 2021

Dynamic IP

June 8, 9, and 17, 2021

Dynamic IP

The IP address for which we have the provided data consists of a static IP, contracted for the exclusive

use of a company. The remaining related IP addresses are dynamic, which are assigned to various users. Regarding this type of IP addresses, the requested information is stored for a period of one year in application of Law 25/2007 of October 18 on the retention of data related to electronic communications and public telecommunications networks.

-

On February 9, 2024, and March 26, 2024, ***COMPANY.6 was requested for the identifying data and address of the holder of the assignment of the IP address that belongs to it, as indicated by the CNMC in the Excel CNS_DE_1061_21_annex on the dates specified.

IP

Dates

(...)

April 15, 20, and 28, 2021

May 7, 20, 22 – 28, 2021

June 1, 4, 7, 8, 14 – 18, 2021

On February 28, 2024, and April 11, 2024, the responses were received at the electronic headquarters of the AEPD. Entries with registration numbers REGAGE24e00015371376 and REGAGE24e00026834365 indicate that the IP address (...) is dynamic and that once twelve months have passed, it does not retain the information on ownership, making it impossible to provide the requested information.

-

On February 9, 2024, ***COMPANY.7 was requested for the identifying data and address of the holder of the assignment of the IP address that belongs to it, as indicated by the CNMC in the Excel CNS_DE_1061_21_annex on the dates specified. On February 13, 2024, a response was received at the electronic headquarters of the AEPD indicating that, currently, the IP (...) corresponds to LUVON. Regarding the procedure used by the CNMC for the management of the SIPS Within the framework of PS/XXXXX/202X, this Agency requests the following information from the CNMC:

The CNMC does not exclusively authorize one person for access. The representative of the marketer guarantees compliance with data protection regulations but does not assume that the download must be done by him personally. The APPLICANT can access and upload the databases using their Digital Certificate, but the CNMC also provides a pair of keys so that the company's personnel, using computer systems, can perform the query automatically.

[...]

In short, access to the download of the databases can be carried out directly by the company's personnel, respecting data protection regulations. However, the possible relationships that exist between the marketer and the IT service company managing their databases and the presumed data processing assignments (in the sense given by the GDPR) and confidentiality agreements signed between both fall within the scope of data protection.

Entry with registration number REGAGE23e00068526709 included in the Diligence References.

Regarding LUVON's access to the CNMC web service

In the context of the investigation actions, on March 7, 2024, LUVON was requested for information regarding access to the API of the CNMC web service during the year 2021.

On April 8, 2024, a response was received at the electronic headquarters of the AEPD where LUVON indicates that the systems and maintenance provider of the ERP of LUVON ENERGÍA at that time was ***COMPANY.1. At the same time, ***COMPANY.1 was a partner of ***COMPANY.2, a provider of domains and hosting, with the latter being the owner of all the IPs. It also provides the information that it submitted to the CNMC, which has been reproduced in this report under the heading Situation noted by the CNMC. Response from LUVON, and the contracts signed between LUVON and ***COMPANY.1.

On May 27, 2024, ***COMPANY.1 was requested for information regarding access to the API of the CNMC web service during the year 2021. On June 3,

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of 2024, the response was received at the electronic headquarters of the AEPD, where it states: Our work consisted exclusively of programming API connection code for your CRM, following the instructions provided regarding the operation of the API at that time and how it should connect to access the reading of the SIPS information of the clients and the databases.

The service in the CRM was designed and tested to operate on your servers, but for this to be possible, it was necessary to enter a username and password in your application.

[...]

On June 5, 2024, LUVON was requested to provide additional information, and a new request was sent for them to provide the following information:

- Number of users authorized to access the API of the CNMC web service during the year 2021 and, in particular, during the second quarter, indicating whether they were employees of LUVON or ***EMPRESA.1. Documentary accreditation.

In any case, justification of the number of authorized users, explanation of the devices from which they could access the API, and geographical location. Documentary accreditation of confidentiality commitments.

- Explanation of the reason for the evolution of the application (indicating when it occurred) that caused the increase in the use of the CNMC API during the year 2021. Indication of the dates, during the year 2021 and up to the present, on which the CNMC has blocked access to the SIPS for LUVON.

- Explanation of how LUVON currently accesses the API of the CNMC web service and makes queries to the SIPS databases.

The acknowledgment of receipt of the request is dated June 10, 2024, and on June 24, 2024, the response from LUVON was received at the electronic headquarters of this Agency, where LUVON states:

- FIRST. - The system and maintenance provider of LUVON's ERP at that time was ***EMPRESA.1. (...) In turn, ***EMPRESA.1. was a partner of ***EMPRESA.2, a provider of domains and hosting, with the latter being the owner of all related IPs. [...]

- SECOND. - Regarding the number of users authorized to access the API. The Sole Administrator, as the representative of the company, was the only user authorized for the purposes of the CNMC. An email from the CNMC is attached where the company is registered. This authorization was transferred to its partner ***EMPRESA.1. through the contracts already submitted to the AEPD in the previous communication and are attached again.

The email that LUVON receives from the CNMC enabling access to the SIPS is provided. Document ALTA_API_CNMC of the entry with registration number REGAGE24e00047006778.

Regarding the locations, LUVON had two workplaces, one located in the city of Leganés (social and tax address) and another in the city of Vigo.

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these were the only locations from where LUVON could access the tool. The devices from which the application was accessed were the information processing equipment owned by the company located in these work centers, that is, from the computers.

Regarding the explanation of the reason for the evolution of the application. LUVON is aware of how its application behaves when its access to the CNMC API is blocked around June 13, 2021. An email thread exchanged with the CNMC outlining this circumstance is attached.

The email that LUVON sent to the CNMC regarding issues accessing the SIPS is provided. Document Mail knowledge of the entry block with registration number REGAGE24e00047006778.

Until approximately November 11, 2021, LUVON's ERP, designed under PHP technology, had developed a service to connect to the CNMC's SIPS API, both to query its consumption endpoints and

those for supply information, for both gas and electricity. At a certain point in the evolution of the application, it needed to make queries to update the estimated annual consumption of active customers. Hence, each time a contract received a file with the tolls (XML F1), the API was queried to recalculate and update the consumption in the last mobile year and was saved in the tool.

This was what caused the increase in the use of the API, because importing 2000 F1, for example, in one day, resulted in 2000 requests the next day to update the annual consumption of those contracts. The F1 (invoices from distributors) were received in hundreds daily, which meant that with the arrival of each one, the ERP would send a request to the CNMC, that is, the ERP did it automatically from some IP owned by ***EMPRESA.2 and assigned to ***EMPRESA.1., it was not done by any person related to LUVON.

This way of operating caused access blocks to the CNMC, which meant that we did not have access to the database, so this party contacted the CNMC, initially to understand the origin of the block, unknown to LUVON at that time, and to request the unblocking of the IPs. Each time the CNMC proceeded to unblock them, they would be blocked again or new ones (dynamic IPs) would appear. Our partner ***EMPRESA.1. uses dynamic IPs, which, as you know, are assigned temporarily and randomly by the system provider.

As a result of these blocks and while conversations with the CNMC were ongoing, several access methods were attempted that did not exceed the stipulated query limits, but our accesses always ended up being blocked.

Since none of these tests were successful, LUVON demanded that its partner, ***EMPRESA.1., devise a system that would not exceed the stipulated limit of the CNMC. Thus, the creation of a separate tool was proposed, isolated from the ERP, that would make a single request to the API for each published .zip and download the complete information so that the ERP could query this data instead of the API itself, so that the requests made by LUVON since then were based on the downloaded data. This software

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was developed and implemented around November 11, 2021, which resulted in the excess requests to the CNMC API no longer existing.

Currently, LUVON, to its knowledge, continues to use this download system, which, since its implementation, has not experienced any similar issues to the one currently at hand and states that the request system for the CNMC API was conceived by ***EMPRESA.1. and has no control or prior knowledge of how the tool is programmed to provide the required information in the ERP.

It also responsibly declares that it has strictly adhered to its code of conduct and has not provided access keys to the CNMC SIPs database to any third party, except to ***EMPRESA.1. by virtue of its commercial relationship under the agreement for the development of its ERP and, always, after the signing of the confidentiality clause included in the maintenance contract.

Regarding the contracts signed with

***EMPRESA.1

- Contract for the Provision of IT Programming and Development Services for the Application.

The purpose of the contract is the custom development of a Web application for the marketing of gas to manage contracts, gas consumption, and billing of potential LUVON clients.

The contract details the actions and phases to be developed, as well as the maximum time for completion and delivery to the client. The start date for the work is established as December 1, 2019, and it will be developed until May 25, 2020.

Clause 6 and Annex 1 of the contract relate to confidentiality and data protection.

- IT Maintenance and Support Contract.

The purpose of the contract is the provision by ***EMPRESA.1. of the following services:

☐ Maintenance of incidents in LUVON's CRM

□ Basic developments that do not involve functionalities.

The contract comes into effect the day after its signing, March 16, 2020, and has a duration of 1 year, automatically renewable for annual periods, provided that neither party has notified the other at least 30 business days in advance of the non-renewal of the contract.

In point 7. Confidentiality and Data Protection, it is stated that in the event that the provider has access to personal data for which the client is responsible, it will be considered a data processor of such information. The provider will process the data to which it has access in accordance with the client's instructions, not applying or using it for purposes other than those established in this contract, nor will it communicate it, even for its conservation, to any third party.

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LEGAL GROUNDS

I

Competence

In accordance with the functions conferred on each supervisory authority by Article 57.1 a), f), and h) of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR) and as provided in Articles 47 and 48.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to resolve these investigative proceedings.

Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Agency for Data Protection will be governed by the provisions of Regulation (EU) 2016/679, this organic law, the regulatory provisions issued in its development, and, to the extent that they do not contradict them, by the general rules on administrative procedures."

II

Case Analysis

1. Article 6 of the GDPR, under the heading "Lawfulness of Processing," details in its paragraph 1 the circumstances under which data processing is considered lawful:

"1. Processing shall be lawful only if it meets at least one of the following conditions:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is a party or for the implementation of pre-contractual measures at the request of the data subject;
- c) processing is necessary for compliance with a legal obligation to which the data controller is subject;
- d) processing is necessary to protect the vital interests of the data subject or of another natural person;
- e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;
- f) processing is necessary for the purposes of the legitimate interests pursued by the data controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, particularly when the data subject is a child.

The provision in letter f) of the first paragraph shall not apply to processing carried out by public authorities in the exercise of their functions."

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The GDPR in its Article 5 also establishes the principles that must govern the processing of personal data and, in its paragraph 1, states that:

“1. Personal data shall be:

a) processed lawfully, fairly, and transparently in relation to the data subject (<>).

(...)”

And in its paragraph 2, it establishes that:

“2. The data controller shall be responsible for compliance with the provisions of paragraph 1 and shall be able to demonstrate it (<>).”

Therefore, all processing of personal data must respect the principles that govern it, as listed in Article 5.1 of the GDPR, including the principle of lawfulness, which is further developed in Article 6.1 of the GDPR.

From what is stated in this latter provision, it follows that the processing of data requires the existence of a legal basis that legitimizes it and, in accordance with the same, in addition to consent, there are other possible bases that legitimize the processing of data without the need for the authorization of its owner, in particular, when it is necessary for the performance of a contract in which the data subject is a party or for the application, at their request, of pre-contractual measures, or when it is necessary for the satisfaction of legitimate interests pursued by the data controller or by a third party, provided that such interests do not override the interests or fundamental rights and freedoms of the data subject which require the protection of such data. Processing is also considered lawful when it is necessary for compliance with a legal obligation to which the data controller is subject, to protect vital interests of the data subject or of another natural person, or for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller.

2. Regarding energy marketers, both access to and processing of personal data contained in the SIPS find their legitimacy in letter e) of Article 6.1 of the GDPR:

“(...)”

e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller”

(...)”

According to Article 6.1.f) of Law 24/2013, of December 26, on the Electric Sector:

“f) Marketers are those commercial companies, or cooperative societies of consumers and users, that, accessing the transport or distribution networks, acquire energy for sale to consumers, to other subjects of the system, or to carry out international exchange operations under the terms established in this law.

The procedure and requirements to be a reference marketer shall be established by regulation.”

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Therefore, for the exercise of the marketing activity, the interested parties must carry out the communication of the start of activity, which will specify the territorial scope in which the activity will be developed, before the General Directorate of Energy Policy and Mines of the Ministry of Energy, Tourism and Digital Agenda.

This communication must be submitted accompanied by a responsible declaration regarding compliance with the requirements for the exercise of the activity. The General Directorate of Energy Policy and Mines forwards the communication made by the interested party to the CNMC, which publishes it on its website and maintains an updated list of all marketers with a frequency of at least once a month.

In the event that a marketer fails to comply with any of the requirements demanded for the exercise of its activity, the Ministry for Ecological Transition and the Demographic Challenge may initiate a disqualification procedure that ends with the termination of the authorization to act as a marketer, which is communicated to the CNMC.

Additionally, the obligations that marketers must comply with regarding the confidential nature of the information related to supply points are indicated. According to current regulations, the data from the SIPS is confidential.

For the consultation or download of the information from the SIPS, marketers must first request registration with the CNMC in the management system of the databases of electricity and gas supply points, through the procedure established for this purpose. This request must be analyzed and validated by the CNMC before access is granted.

Access to the CNMC's SIPS information is only permitted to energy marketers that are registered in the list of marketers available on the CNMC's website through an application programming interface (API).

3. Regarding the SIPS, the AEPD has stated about the nature of the data from the electrical SIPS, indicating that "the Supply Points Information System incorporates personal data, since it is possible to identify the consumer to whom the information refers based on the Supply Point Code, thus linking all the content of the system to that consumer."

The SIPS is a database of technical, consumption, and commercial information for each of the supply points connected to each electricity or natural gas distributor.

Both the structure and access to the SIPS are regulated in Article 7 of Royal Decree 1435/2002, of December 27, for the electricity sector.

Marketers, and other parties that make use of the information contained in the databases of supply points of the distribution companies, in accordance with the provisions of Article 7 of Royal Decree 1435/2002 and Article 46.1.k) of Law 24/2013, of December 26, on the Electricity Sector, must subscribe.

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a code of conduct and ensure the confidentiality of the information contained therein.

4. On 03/11/2021, the CNMC forwarded to the AEPD the document "Agreement for the Referral of Actions Related to Possible Fraudulent Uses of the Supply Points Information System (SIPS)" approved by the Regulatory Supervision Chamber of the CNMC, which implied a possible fraudulent use of the SIPS. The CNMC indicated that, through the analysis of recorded access data and the receipt of alerts from marketers and users, a series of scenarios suggesting possible fraudulent uses of the SIPS had been identified, which could impact the right to personal data protection. In summary, the CNMC referred to four possible scenarios.

Once the information provided was analyzed, the opportunity to conduct investigations was considered in order to gather the necessary elements of judgment to determine whether actions contrary to the regulations on personal data protection had occurred, taking into account the capabilities and resources of the AEPD.

In the case examined, the investigations focused on the third of the described scenarios, namely, authorized marketers presenting a high number of queries, exceeding the volume of switching operations recorded over a specific period of time, even exceeding the number of supply points that are part of their client portfolio. Similarly, an abnormal number of IP addresses used, which due to their volume of accesses, could indicate the use of access credentials to the SIPS by unauthorized third parties or a possible commercialization of the information obtained and contained in the SIPS.

The CNMC points out that the entity LUVON is an electricity marketer with code (...) accessing the SIPS through the CNMC API, which could exhibit signs of fraudulent use due to its high number of queries and IP addresses used in accessing the database.

It also provides an Excel sheet that includes information on the relationship of IP addresses with the number of queries made through the CNMC web service API during the second quarter of 2021.

The investigated entity has indicated that, during the year 2021, and particularly during the second quarter of 2021, there was a user from LUVON authorized to access the CNMC web service API, its sole administrator.

It also states that on 01/12/2019 and 16/03/2020, it entered into contracts for the provision of IT services and IT maintenance and support, respectively, with ***COMPANY.1; the second contract

includes a confidentiality clause; in point 7, Confidentiality and Data Protection, establishing that the provider will process the data to which it has access in accordance with the client's instructions, not applying or using them for purposes other than those...

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established in this contract, nor will it communicate them, not even for their preservation, to any third party.

The entity states that it has adhered to its code of conduct and that it has not provided the access keys to the CNMC's SIPS database to any third party, except to its contractor by virtue of their commercial relationship and after the signing of the confidentiality clause.

Regarding the number of queries to the SIPS, the investigated party has indicated that until 11/11/2021, its method of operation caused access blocks to the CNMC, preventing them from accessing the database, which led them to contact the CNMC to understand the origin of the block. The block was due to exceeding the stipulated query limits.

Each time a request was made to unblock access and the CNMC proceeded to unblock the IP addresses from which the queries were made, these or new ones would be blocked again, as the IP addresses used were dynamic.

The investigated party attempted various methods of access, and as none of the tests carried out were successful, it considered creating its own tool that would make a single request to the CNMC API for each published zip and download the complete information, so that the company's ERP would query this data instead of the API itself, meaning that the requests made since then are based on the downloaded data.

This new software was developed by its data processing manager ***COMPANY.1 and implemented on 11/11/2021; it continues to use this download system, which has not experienced any problems since its implementation.

In the context of the investigation being conducted, the aim is to identify the Internet service provider for each of the IP addresses identified by the CNMC in the Excel document provided with the list of IP addresses and the number of requests made in the second quarter of 2021.

However, for two of the IP addresses (...) and (...) provided, the Regional Internet Registry for Europe does not yield results, as they correspond to the Regional Internet Registry for America, ARIN.

The identification of the Internet service providers is carried out through the website of the Regional Internet Coordination Center for Europe; thus, the IPs (...) and (...) belong to ***COMPANY.2, from whom the identifying data and address of the holder of the IP address assignments are requested, indicating that they were assigned throughout the year 2021 to different holders in different periods, one of which is ***COMPANY.1.

The dynamic IPs (...), (...), (...), (...), (...) and (...) belong to ***COMPANY.5, and identifying data of the current holder of the assignment is requested, indicating that the last one was assigned to ***COMPANY.1; but in relation to the

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Dynamic IPs indicate the aforementioned that after twelve months they do not retain information regarding ownership.

Regarding IP (...) it belongs to ***COMPANY.6 which is dynamic and after twelve months does not retain information regarding ownership.

Upon examining the documentation in the file, it has not been possible to establish the existence of conduct that violates the regulations on personal data protection, and the indications of a use not in accordance with the purpose of the SIPS due to an unusual and high number of IP addresses that

resulted in a high number of requests and accesses through the API of the CNMC's web service, as conveyed by this Agency in its letter dated have not been confirmed.

Of all the IP addresses provided by the CNMC in Excel, which included information on the relationship of IP addresses of LUVON, the majority do not appear to have been assigned ownership during the requested period to each of the Internet service providers to whom they belonged.

In this regard, it is worth recalling that, as the Constitutional Court has repeatedly stated, among others in SSTC 120/1994 and 76/1990, the fundamental right to the presumption of innocence has full effect within the framework of Administrative Sanctioning Law. Thus, in STC 76/1990, the High Court states that "... the presumption of innocence applies without exceptions in the sanctioning legal system and must be respected in the imposition of any sanctions, whether criminal, administrative in general, or tax-related in particular."

The Constitutional Court also states in Judgment 76/1990 that the right to the presumption of innocence entails "that the sanction is based on acts or incriminating evidence of the reproached conduct; that the burden of proof lies with the accuser, without anyone being obliged to prove their own innocence; and that any insufficiency in the results of the evidence presented, freely assessed by the sanctioning body, must result in an acquittal."

On the other hand, the Judgment of the Constitutional Court of 20/02/1989 states that "Our doctrine and criminal jurisprudence have maintained that, although both can be considered manifestations of a generic favor rei, there is a substantial difference between the right to the presumption of innocence, which operates its effectiveness when there is an absolute lack of evidence or when the evidence presented does not meet procedural guarantees, and the jurisprudential principle in dubio pro reo which belongs to the moment of evaluation or appreciation of evidence, and which must judge when that indispensable evidentiary activity occurs, there is a rational doubt about the actual concurrence of the objective and subjective elements that integrate the criminal type in question."

Focusing on the facts concerning the investigation carried out and after examining the documentation provided, it is verified that there is no evidence from which it can be deduced that the investigated entity has committed an infringement of the GDPR, as a consequence of those facts derived from the analysis.

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sponsored by the high number of queries through the CNMC API, significantly exceeding the normal volume of switching operations for a given period of time, and which in some way would be supported by the number of IP addresses used, indicative of an alleged fraudulent marketing of the information obtained from the SIPS.

However, the aforementioned circumstances do not constitute or evidence the existence of any proof of the possible commission by the investigated entity of a violation of the GDPR. This is because, within the framework of the preliminary investigation phase, the Internet service providers were identified, which included the IP addresses identified by the CNMC in the Excel provided through which access to the SIPS database via the API was made, not allowing for the deduction of fraudulent activity on the part of the marketer, such that the results obtained from the investigations carried out had the evidentiary significance required to establish an unlawful act by the marketer.

Therefore, no evidentiary elements have been provided or incorporated into the file that would allow for the reliable establishment that the investigated entity violated the data protection regulations. In light of this, applying the principle of presumption of innocence, which prevents the imposition of a sanction in the absence of evidence regarding a specific and decisive fact, it is not appropriate to initiate a sanctioning procedure, as no violation of the GDPR has been substantiated.

IV

Conclusion

Therefore, based on the indications in the previous paragraphs, no evidence has been found that substantiates the existence of an infringement within the jurisdiction of the Spanish Agency for Data

Protection.

All of this is without prejudice to any subsequent actions that this Agency may carry out, applying the investigative and corrective powers it holds.

Thus, as it has not been possible to attribute responsibility for the treatments in accordance with what has been indicated,

By the Director of the Spanish Agency for Data Protection, IT IS AGREED:

FIRST: TO ARCHIVE the present proceedings.

SECOND: TO NOTIFY this resolution to LUVÓN ENERGÍA, S.L.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

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Against this resolution, which concludes the administrative process as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, and in accordance with the provisions of Articles 112 and 123 of the aforementioned Law 39/2015, of October 1, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file an administrative contentious appeal before the Administrative Court of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

Mar España Martí

Director of the Spanish Agency for Data Protection

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